# CHAPTER 73 Co-operative Societies

**T**he 97*th Constitutional Amendment Act* of 2011 gave a constitutional status and protection to co-operative societies. In this context, it made the following three changes in the constitution:

1. It made the right to form co-operative societies a fundamental right (Article 19[1]).
2. It included a new Directive Principle of State Policy on promotion of co-operative societies (Article 43-B[2]).
3. It added a new Part IX-B in the Constitution which is entitled "The Co-operative Societies" (Articles 243-ZH to 243-ZT).

**CONSTITUTIONAL PROVISIONS**

*Part IX-B of the constitution contains the following provisions with respect to the co-operative societies:*

***Incorporation of Co-operative Societies:*** The state legislature may make provisions for the incorporation, regulation and winding-up of co-operative societies based on the principles of voluntary formation, democratic member-control, member-economic participation and autonomous functioning.

***Number and Term of Members of Board and its Office Bearers:*** The board shall consist of such number of directors as may be provided by the state legislature.[3] But, the maximum number of directors of a co-operative society shall not exceed twenty-one.

The state legislature shall provide for the reservation of one seat for the Scheduled Castes or the Scheduled Tribes and two seats for women on the board of every co-operative society having members from such a category of persons.

The term of office of elected members of the board and its office bearers shall be five years from the date of election.[4]

The state legislature shall make provisions for co-option of persons having experience in the field of banking, management, finance or specialisation in any other related field, as members of the board. But, the number of such co-opted members shall not exceed two (in addition to twenty-one directors). Further, the co-opted members shall not have the right to vote in any election of the co-operative society or be eligible to be elected as office bearers of the board.

The functional directors of a co-operative society shall also be the members of the board and such members shall be excluded for the purpose of counting the total number of directors (that is, twenty-one).

***Election of Members of Board:*** The election of a board shall be conducted before the expiry of the term of the board so as to ensure that the newly elected members assume office immediately on the expiry of the term of the office of members of the outgoing board.

The superintendence, direction and control of the preparation of electoral rolls and the conduct of elections to a co-operative society shall vest in such body, as may be provided by the state legislature.